NYSE: MPC

# Marathon Petroleum Corporation

LONG · BUY RECOMMENDATION · APRIL 2026

| ~$232 | $287 | +24% | $68B |
|---|---|---|---|
| Current Price | Price Target | Upside | Market Cap |

**America's Largest Independent Refiner**

- 3.0 mbpd Refining Capacity
- 13 Refineries · 3 U.S. Regions
- ~10,000 Miles Pipeline (MPLX)
- $10.2B Capital Returned — 2024
- $4.5B Capital Returned — 2025
- 23% Capital Return Yield (2024)

# Investment Overview

STRONG BUY — NYSE: MPC

| COMPANY SNAPSHOT | |
|---|---|
| Refining Capacity | 3.0 mbpd \| 13 Refineries |
| Regions | Gulf Coast · Mid-Con · West Coast |
| MPLX Ownership | ~64% (publicly traded MLP) |
| Revenue (2024) | $140.4B |

| BULL/BASE/BEAR | | |
|---|---|---|
| Bull: $287 | Base: $230 | Bear: $142 |

**BULL($287): strong spreads + MPLX growth + higher multiple**
upside case driven by sustained strong crack spreads, solid MPLX contribution, and multiple expansion

**BASE($230): normalized earnings + steady MPLX + fair value**
most likely case based on mid-cycle refining assumptions, stable MPLX cash flow, and fair valuation

**BEAR ($142): weaker spreads + lower earnings + lower multiple**
downside case reflecting crack spread compression, lower refining earnings, and multiple contraction

## Investment Thesis

### Dual-Engine Cash Machine

MPLX distributions grow from $2.8B → $3.5B+ (12.5% CAGR), providing a margin-independent earnings floor — while Refining delivers leveraged upside on crack spreads.

### Structural Refining Advantage

114% crack spread capture rate in Q4 2025, up from 96% in Q3 — vs. Valero at $13.61/bbl margin. Sour crude diet (~50%), 3.0 mbpd capacity, and competitor closures permanently widen the moat.

### Capital Return Powerhouse

$10.2B returned in 2024 (23% yield). $4.4B buyback authorization remaining. Float down ~40% since 2021 — massive per-share earnings leverage going forward.

### MPLX Growth Catalyst

$2.4B 2026 growth CapEx (90% NGL/Gas). Permian & Marcellus expansion. MPLX distributions alone cover MPC's dividends + standalone CapEx in 2026.

### Valuation Disconnect

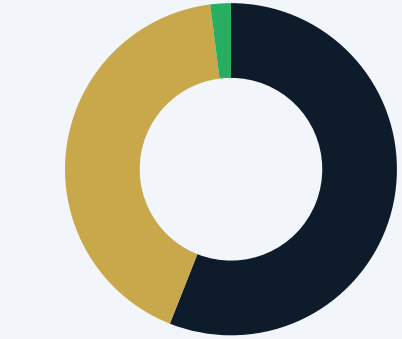
Trades at ~10.3x EV/EBITDA — market prices MPC as a pure refiner, ignoring the durable midstream premium. 14.5x forward P/E vs. S&P 500 at ~21x.

**Base Target $230 · Upside Target $287 · Current ~$232 · Downside $142 (–39%) · Margin of Safety: MPLX Floor Covers Dividends + CapEx**

# Business Segments

Integrated Downstream Energy Platform

FY2025 Adj. EBITDA Mix ($12.0B)



Refining & Marketing  Midstream (MPLX)  Renewable Diesel

| $12.0B | 3.0 mbpd | 95% |
|---|---|---|
| FY2025 Adj. EBITDA | Refining Capacity | Utilization Rate |

## ~56% of EBITDA

### Refining & Marketing

- $2.0B Adj. EBITDA (Q4 2025)
- 3.0 mbpd | 13 Refineries
- 95% utilization (FY2025)
- 114% crack spread capture

Gulf Coast: Garyville (largest US refinery), Galveston Bay, Texas City

Mid-Continent: Catlettsburg, Canton, Detroit, Mandan, St. Paul Park, Robinson

West Coast: Martinez CA (upgrade underway), El Paso TX, Kenai AK

Key metric: $18.65/bbl refining margin vs. peer VLO at $13.61 — 37% premium

## ~42% of EBITDA

### Midstream (MPLX LP)

- $7.0B record Adj. EBITDA (FY2025)
- ~10,000 miles of pipelines
- MPC owns ~64% of MPLX
- 12.5% distribution growth (2yr)

Fee-based: earnings independent of commodity prices — structural floor for MPC

Growth: $2.4B 2026 CapEx; 90% toward Natural Gas & NGL Services

Permian expansion: Northwind plant 400 MMcfd capacity (H2 2026)

Distributions to MPC: $2.8B (2025) → $3.5B+ (2027) — covers dividends + CapEx

## ~2% of EBITDA

### Renewable Diesel

- Martinez CA JV (w/ Neste)
- Dickinson ND: 184M gal/yr
- LCFS credit monetization
- Utilization improving YoY

Martinez Renewable Fuels: converted refinery; Q4 2024 utilization improving

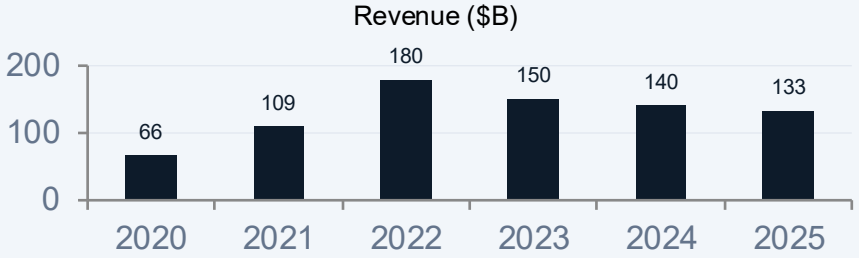
Regulatory tailwind: California LCFS credit prices drive margin uplift

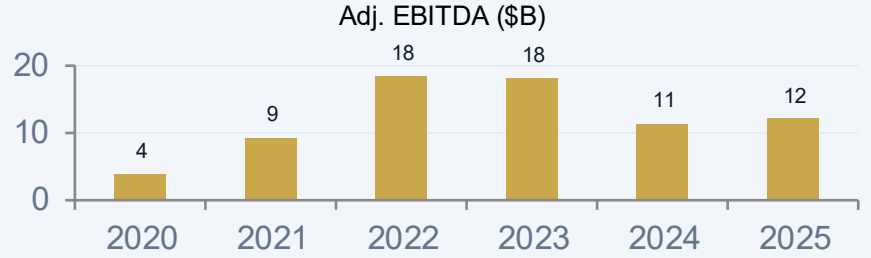
SAF (sustainable aviation fuel) pilot at Dickinson under development

Long-term option: LCFS expansion to other states = significant upside optionality

# Summary Financials

FY2020–FY2025A



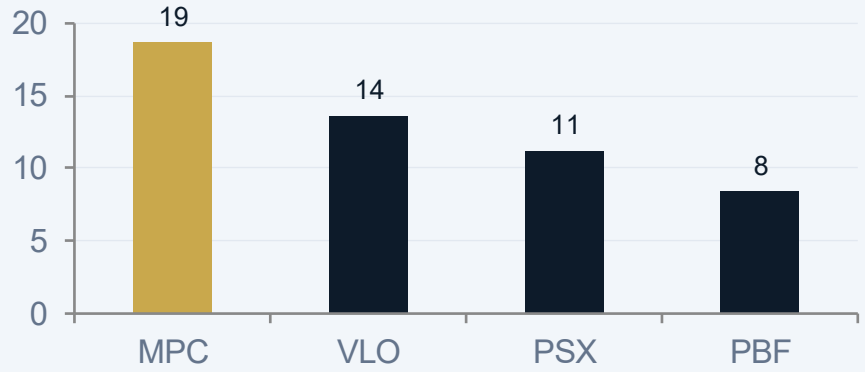

| Metric ($B) | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 |
|---|---|---|---|---|---|---|
| Revenue | 66.1 | 109.1 | 179.5 | 150.3 | 140.4 | 133.4 |
| YoY Growth | — | +65% | +64% | −16% | −7% | −5% |
| Gross Profit | 7.2 | 13.4 | 28.8 | 22.9 | 18.2 | 18.2 |
| **Adj. EBITDA** | **3.7** | **9.2** | **18.4** | **18.0** | **11.3** | **12.0** |
| EBITDA Margin | 5.6% | 8.4% | 10.2% | 12.0% | 8.0% | 9.0% |
| Net Income (MPC) | 0.1 | 3.8 | 14.5 | 9.7 | 3.4 | 4.0 |
| Diluted EPS | $0.27 | $9.46 | $33.47 | $23.63 | $10.08 | $13.22 |
| EPS YoY Growth | −95% | +3,400% | +254% | −29% | −57% | +31% |
| Op. Cash Flow | 2.3 | 7.1 | 16.1 | 14.3 | 8.7 | 8.3 |
| CapEx | 0.8 | 0.9 | 1.2 | 2.1 | 3.2 | 3.1 |
| **Free Cash Flow** | **1.5** | **6.2** | **14.9** | **12.2** | **5.5** | **5.2** |
| Capital Returned | — | 4.2 | 9.0 | 10.4 | 10.2 | 4.5 |

Source: Marathon Petroleum 10-K filings, Q4 2025 Earnings Release (Feb 3, 2026)

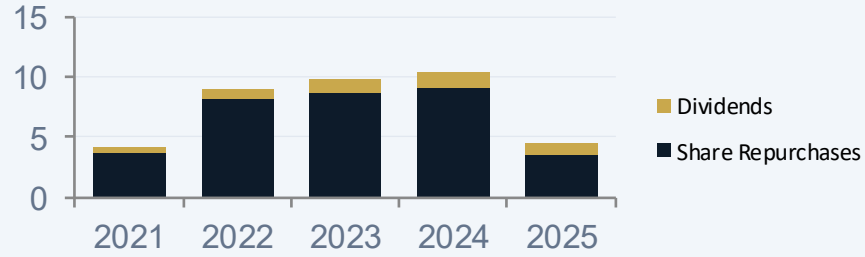
# Competitive Positioning & Catalysts

Structural Refining Advantage

**Q4 2025 REFINING MARGIN ($/bbl)**




**CAPITAL RETURNED ($B)**




**NEAR-TERM CATALYST**

### CA Refinery Closure — Demand Tightening

Phillips 66 permanently shutting Wilmington CA refinery (Q4 2025) — removes ~139 mbpd. Valero Benicia (145 mbpd) also closing Apr 2026. Combined ~284 mbpd = 17% of CA capacity permanently removed. Structural, not cyclical.

**SECULAR TAILWIND**

### AI Data Center + Aviation Demand Surge

Diesel demand surging from data-center construction and backup generation. Jet fuel recovering +5% YoY. Distillates now ~36% of MPC's refined product yield — higher-margin product mix shift.

**STRUCTURAL MOAT**

### Sour Crude Cost Advantage

~50% of MPC's crude diet is discounted heavy/sour crude. High-complexity Gulf Coast & Mid-Con refineries built for sour processing. Venezuelan crude access when policy allows adds further optionality.

# Regional Crack Spread Differentials



## CALIFORNIA — A MARKET UNTO ITSELF

### No Pipeline Access Across the Rockies

No refined product pipelines cross the Rocky Mountains. California cannot import gasoline from the Gulf Coast or Mid-Continent — any supply shortfall causes immediate price spikes.

### CARB Mandates — Proprietary Fuel Blend

California Air Resources Board mandates a proprietary gasoline blend only CA-certified refineries can produce. Outside supply cannot substitute — creating a captive, premium-priced market.

### 17% of CA Capacity Permanently Removed

Phillips 66 Wilmington (139 mbpd, Q4 2025) + Valero Benicia (145 mbpd, Apr 2026) = 284 mbpd permanently shuttered. This is structural — capacity never returns.

### MPC's Martinez (161 mbpd) Captures the Gap

MPC's Martinez CA refinery (JV w/ Neste) is the natural beneficiary. Improving utilization + LCFS credit monetization add margin. West Coast spreads are structurally wider than the US average.

## GULF COAST — ~50% OF MPC CAPACITY

Sour crude structural discount vs. Brent — Garyville and Galveston Bay built for discounted heavy grades, providing a permanent cost advantage regardless of geopolitical environment.

## MID-CONTINENT — ~35% OF MPC CAPACITY

Access to discounted Bakken and Canadian heavy crude via MPLX pipelines. Catlettsburg (278 mbpd) and Robinson (206 mbpd) earn cost-advantaged margins. Landlocked geography limits imported product competition — a structural moat not visible in peer multiples.

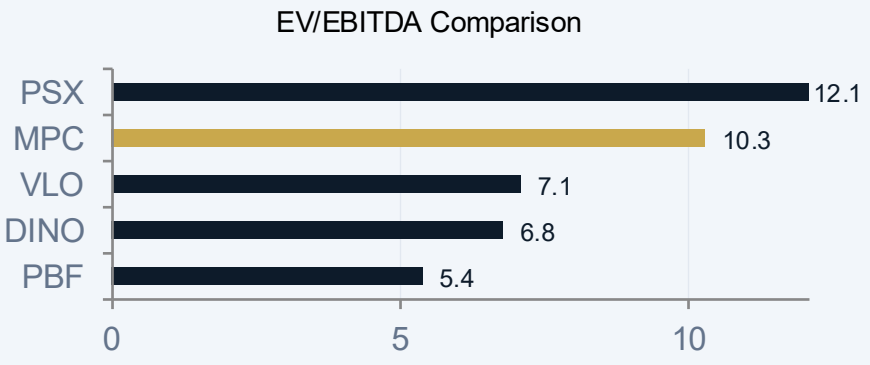
### KEY INSIGHT

MPC's three regions each earn structurally differentiated crack spreads. California's geographic isolation + CARB mandates + 17% permanent capacity removal means West Coast margins are durably wider — yet the market assigns MPC a generic "average refiner" multiple that ignores this regional premium.

# Comparable Company Analysis

MPC Offers Superior Risk-Adjusted Returns

| Company | Ticker | Mkt Cap | EV/EBITDA | Fwd P/E | EBITDA Mgn | ROE | Div Yld | Rating |
|---|---|---|---|---|---|---|---|---|
| **Marathon Petroleum ★** | **MPC** | $68B | **10.3x** | **14.5x** | ~9% | 24.2% | 1.6% | **Buy** |
| Valero Energy | VLO | $68B | 7.1x | 14.1x | ~7% | 8.3% | 3.2% | **Buy** |
| Phillips 66 | PSX | $75B | 12.1x | 14.1x | ~6% | 15.4% | 3.8% | **Hold** |
| HF Sinclair | DINO | $5.5B | 6.8x | 10.2x | ~5% | 10.1% | 5.2% | **Hold** |
| PBF Energy | PBF | $3.3B | 5.4x | 8.9x | ~3% | 6.2% | 1.4% | **Hold** |
| **Peer Median** | — | — | **7.1x** | **12.2x** | ~6% | 9.2% | 3.5% | — |
| **MPC vs. Median** | — | — | **+45%** | **+19%** | **+3pp** | **+15pp** | **−1.2pp** | — |




### Key Valuation Insights

- MPC's 10.3x EV/EBITDA premium over VLO (7.1x) reflects MPLX integration — a structural stability premium the market is slowly recognizing
- At 14.5x forward P/E, MPC still screens attractively vs. S&P 500 (~21x) and the broader energy sector — given its capital return profile
- 11.7% capital return yield in 2025 remains peer-leading with $4.4B buyback authorization remaining and sustainable: MPLX alone covers dividends + CapEx in 2026, freeing all refining FCF for buybacks
- MPC's 24.2% ROE vs. peer median of ~9.2% demonstrates it creates over 2.5x the value per dollar of equity — under-appreciated by current multiple

Source: Bloomberg, Yahoo Finance, StockAnalysis.com as of March 2026

# DCF Valuation — FCFF Model

Mid-Cycle DCF Base: $230 | SOTP Intrinsic: ~$232+ | Bull: $287 | Bear Floor: $142 (MPLX limits true downside)

| $31.3B | $68.1B | $99.4B | ($31.5B) | $67.9B | ~295M | $230 |
|---|---|---|---|---|---|---|
| PV of FCFFs (5yr) | Terminal Value PV | Enterprise Value | Less: Net Debt | Equity Value | Shares Outstanding | Intrinsic Value/Shr |

| Assumption | Value |
|---|---|
| Exit Year (Projection) | 5 years |
| Rev. Growth Yr 1-2 | 3.5% |
| Rev. Growth Yr 3-5 | 2.5% |
| EBITDA Margin (expand) | 9.0% → 10.1% |
| D&A (% of Rev.) | 2.2% |
| CapEx (% of Rev.) | 2.3% |
| ΔWorking Capital | −0.5% rev. |
| Tax Rate | 21.0% |
| Exit EBITDA Multiple | 7.3x (Base) |
| Net Debt (2025) | $31.5B |

| WACC Component | Value |
|---|---|
| 10-yr UST (Risk-Free) | 4.4% |
| Equity Risk Premium | 5.5% |
| Beta (5-yr monthly) | 0.71 |
| Cost of Equity (CAPM) | 8.31% |
| Pre-tax Cost of Debt | 3.90% |
| Tax Rate | 21.0% |
| After-tax Cost of Debt | 3.08% |
| Weight: Equity | 92.0% |
| Weight: Debt | 8.0% |
| **WACC** | **7.90%** |

**Upside**

**$287**

**+24%**

Rev Growth: 5.0%
EBITDA Margin: 10.5%
Exit: 9.1x WACC: 7.4%

**Base**

**$230**

**~0%**

Rev Growth: 3.5%/2.5%
EBITDA Margin: 10.1%
Exit: 7.3x WACC: 7.9%

**Downside**

**$142**

**-39%**

Rev Growth: 1.0%
EBITDA Margin: 7.8%
Exit: 4.5x WACC: 8.9%

| ($B) | 2024A | 2025A | 2026E | 2027E | 2028E | 2029E | 2030E |
|---|---|---|---|---|---|---|---|
| Revenue | 140.4 | 133.4 | 122.7 | 125.3 | 128.0 | 130.9 | 133.7 |
| YoY Growth | | | −8.0% | 2.1% | 2.2% | 2.3% | 2.1% |
| **Adj. EBITDA** | 11.3 | 12.0 | 12.4 | 12.7 | 13.0 | 13.4 | 13.7 |
| EBITDA Margin | 8.0% | 9.0% | 10.1% | 10.1% | 10.2% | 10.2% | 10.3% |
| **FCFF** | 8.7 | 8.3 | 7.2 | 7.8 | 8.1 | 8.5 | 8.8 |
| Discount Factor | | | 0.926 | 0.858 | 0.795 | 0.736 | 0.682 |
| PV of FCFF | | | 6.7 | 6.7 | 6.4 | 6.3 | 6.0 |

Source: MPC filings, Q4 2025 earnings, internal model. E = estimated.

# Sum-of-the-Parts Valuation



## STEP 1: MPLX VALUE

**MPLX 2026E Adj. EBITDA**

**~$5.8**

**Peer MLP EV/EBITDA Multiple**

**12x**

**MPLX Enterprise Value**

**~$69.6B**

**MPC's ~64% Stake Value**

**~$44.5B**

**MPLX Value Per MPC Share**

**~$151**

## STEP 2: MPC EX-MPLX

**MPC Enterprise Value**

**~$99.4B**

**Less: MPC's MPLX Stake**

**(~$44.5B)**

**Implied Refining EV**

**~$55B**

**Refining EBITDA (2025A)**

**~$6.7B**

**Implied Refining EV/EBITDA**

**~8.2x**

## STEP 3: PEER COMPARISON

**Pure-Play Refiner EV/EBITDA:**

VLO (Valero): 7.1x

DINO (HF Sinclair): 6.8x

PBF Energy: 5.4x

Peer Median: 6.8x

**MPC ex-MPLX: ~8.2x**

Modest premium to peers — justified by 114% crack capture and 37% higher per-barrel margins vs. Valero.

## BOTTOM LINE

At $232, you get MPLX — a fee-based midstream MLP worth ~$151/share — plus 3.0 mbpd of top-ranked US refining for only ~$81/share. The market values MPC's refining at pure-refiner multiples while assigning zero midstream premium. That is the mispricing.

# Sensitivity Analysis

Target Price Robustness Across Key Assumptions

≥$240 — Strong Upside | $215–$239 — Upside | $190–$214 — Base Zone | $170–$189 — Near Current | <$170 — Downside

## Equity Value / Share — WACC vs. Terminal Growth Rate

| WACC→ TGR ↓ | 6.9% | 7.4% | 7.9% | 8.4% | 8.9% |
|---|---|---|---|---|---|
| 1.0% | $312 | $287 | $264 | $244 | $226 |
| 1.5% | $278 | $256 | $237 | $220 | $205 |
| 2.0% | $249 | $230 | **$214** | $199 | $186 |
| 2.5% | $223 | $207 | $193 | $181 | $169 |
| 3.0% | $200 | $187 | $175 | $164 | $155 |

## Equity Value / Share — EBITDA Margin vs. Revenue Growth

| EBITDA Mgn → Rev Gr ↓ | 8.0% | 9.0% | 10.1% | 11.0% | 12.0% |
|---|---|---|---|---|---|
| 1.0% | $158 | $170 | $185 | $198 | $210 |
| 2.0% | $168 | $182 | $199 | $214 | $228 |
| 3.5% | $180 | $196 | **$215** | $231 | $247 |
| 5.0% | $189 | $207 | $227 | $245 | $263 |
| 7.0% | $200 | $219 | $241 | $261 | $281 |

**Key Observations**

- Base case ($230) uses WACC of 7.9% and 7.3x exit EBITDA multiple (conservative for integrated refiner+MLP) — current price ~$232 is essentially at base; upside scenario $287 implies +24% from here; analyst consensus ~$212 (Raymond James raised to $270 Mar 2026)
- At ~$232 current price, MPC sits in the "Base Zone" of our sensitivity — the Iran premium has come out of the stock, meaning you are buying at fair value with full upside to $287.
- Upside scenario ($287, +24% from current) is triggered by EBITDA margin expanding to 11%+ — achievable given California structural supply tightening and MPLX 12.5% distribution growth
- Downside ($142, −39%) requires simultaneous revenue contraction, margin compression, AND multiple de-rating — all three together is a low-probability scenario given structural demand

Source: Internal DCF model. All values represents equity value per share.

# Risks & Mitigants

Risk-Adjusted Return Remains Compelling

| | | |
|---|---|---|
| HIGH | **Crack Spread Compression**<br>New Asian refining capacity online 2026; OPEC supply changes; global demand destruction could compress R&M EBITDA by 40–50%. | **Mitigant:**<br>MPLX $3.5B+ fee-based distributions provide a fully crack-spread-independent earnings floor — alone covering dividends + standalone CapEx in 2026. |
| MED | **OPEC Crude Supply Surge / Oil Price Volatility**<br>Oil price collapse or supply glut narrows heavy/sour differentials, eroding feedstock cost advantage vs. peers processing lighter sweet crudes. | **Mitigant:**<br>High-complexity refineries process diverse crude slates. 50% sour crude diet remains discounted vs. sweet crude in most macro scenarios. WTI currently supportive. |
| MED | **Long-term EV Adoption Accelerates Gasoline Decline**<br>Gasoline demand structurally declining as EV penetration grows — reducing throughput utilization and long-run economics for motor fuels. | **Mitigant:**<br>Distillates (jet fuel + diesel) represent ~36% of MPC's yield and are far less exposed to EVs than gasoline. Renewable diesel & SAF platforms provide energy transition optionality. |
| MED | **Regulatory / Environmental Headwinds**<br>Tighter EPA refinery standards or California LCFS changes could increase opex or reduce margins at West Coast facilities (already higher cost). | **Mitigant:**<br>Renewable diesel segment monetizes LCFS credits. MPC is investing in compliance upgrades. West Coast represents <20% of total refining capacity. |
| LOW | **USW Labor Strike / Operational Disruption**<br>United Steelworkers union negotiations ongoing — potential strikes could disrupt throughput at major refineries and impact near-term earnings. | **Mitigant:**<br>Geographically diversified 13-refinery network limits systemic risk. Historical pattern: disputes resolved within weeks. Strong $8.3B operating cash flow buffer. |

# Why You Have To Buy (WYHTB)



### 1 MPLX Is a Hidden Bond

$3.5B+ in fee-based distributions in 2027 — completely independent of crack spreads. This alone covers every dividend MPC pays AND all standalone CapEx. Refining upside is essentially free.

### 2 Crack Spreads Are Structurally Elevated

A fragile two-week ceasefire was announced — but oil remains at ~$96, well above pre-war levels of $70. West Coast competitor closures are permanent. Margins stay structurally elevated. $18.65/bbl margin in Q4 2025 vs. $12.93 a year prior.

### 3 Share Count Is Melting

Float is down ~40% since 2021. $4.4B buyback authorization remaining as of Jan 2026. At current pace, share count drops another ~10% in 2026. Every dollar of earnings is split among fewer shares — massive EPS leverage.

### 4 You Are Paying Pure-Refiner Multiples for a Hybrid

At 10.3x EV/EBITDA, market is valuing MPC like a commodity refiner. But ~42% of EBITDA is from MPLX — a fee-based midstream MLP that deserves a 12-14x multiple. The blended intrinsic value is $230-$287.

### 5 Raymond James Just Raised to $270

Raised March 25, 2026 — from $210. Cites sustained elevated margins, California structural supply tightening, MPLX distribution growth. Consensus is still lagging at ~$212. Our model says $230 base, $287 upside. Stock at $232.

### 6 Every Geopolitical Shock Makes MPC Money

MPC processes crude, it doesn't produce it. Supply shocks WIDEN crack spreads for US refiners. Even SPR releases still need to be refined. MPC is the last mile of energy security — demand is non-discretionary.

Source: MPC Q4 2025 earnings, Raymond James research note Mar 25 2026, StockAnalysis.com, internal DCF model.

# Refinery Network & Geopolitical Risk

US-Only Footprint | Middle East Exposure Analysis

| GULF COAST — ~50% of Total Capacity | |
|---|---|
| ◆ Garyville, LA | 578k bpd — largest US refinery |
| ◆ Galveston Bay, TX | 459k bpd |
| ◆ Texas City, TX | 76k bpd |
| **MID-CONTINENT — ~35% of Total Capacity** | |
| ◆ Robinson, IL | 206k bpd |
| ◆ Catlettsburg, KY | 278k bpd |
| ◆ Canton, OH | 73k bpd |
| ◆ Detroit, MI | 137k bpd |
| ◆ Mandan, ND | 71k bpd |
| ◆ St. Paul Park, MN | 98k bpd |
| **WEST COAST — ~15% of Total Capacity** | |
| ◆ Martinez, CA | 161k bpd (JV w/ Neste) |
| ◆ El Paso, TX | 131k bpd |
| ◆ Kenai, AK | 72k bpd |

**TOTAL: 3.0 MILLION BPD | 13 REFINERIES | 3 US REGIONS**

100% domestic footprint — zero foreign refinery risk, zero war-zone plant exposure

## MIDDLE EAST RISK — MPC vs. GLOBAL PEERS

| RISK FACTOR | MPC | GLOBAL PEERS |
|---|---|---|
| Refineries in Middle East | 0 of 13 | 3–8 facilities |
| Strait of Hormuz crude dep. | ~0% direct | 15–40% of supply |
| SPR drawdown effect | Neutral / Positive | Neutral / Negative |
| War risk to plant assets | NONE — US only | HIGH — exposed |
| Iran conflict impact | BULLISH ↑ margins | BEARISH ↑ costs |
| Crude supply shock | Widens crack spread | Raises feedstock cost |

### WHY MPC IS GEOPOLITICS-PROOF

MPC processes crude — it does not produce it. Every supply shock in the Middle East WIDENS the crack spread MPC earns per barrel. Even when nations tap Strategic Petroleum Reserves, that crude still needs to be REFINED — flowing into MPC's 3.0 mbpd system.

MPC has ZERO refineries in conflict zones. War risk to its assets is structurally nil — while global peers face plant shutdowns.

# Continuity & Scenario Planning

Through-Cycle Resilience | Bull / Base / Bear Stress Tests

| BULL CASE<br>$287 Target \| +24% from current | BASE CASE<br>$230 Intrinsic \| –0% from current | BEAR CASE<br>$142 Floor \| –39% from current |
|---|---|---|
| **Macro Environment** | **Macro Environment** | **Macro Environment** |
| WTI stays $85-100; Iran conflict unresolved through H2 2026; Strait of Hormuz pressure persists; diesel + jet demand surges | WTI normalizes to $70-80; Middle East tension eases; refining margins compress but stay above 5-year avg; demand steady | Iran de-escalation collapses oil prices; WTI falls to $55-65; OPEC surge + demand destruction; recession materializes |
| **Refining** | **Refining** | **Refining** |
| Crack spreads stay $18-22/bbl; utilization 96-98%; margin capture >110%. CA competitor closure locks in West Coast structural benefit | Crack spreads normalize to $13-15/bbl; utilization 93-95%; mid-cycle EBITDA ~$12B. Structural West Coast benefit maintained | Crack spreads compress to $6-9/bbl; utilization drops to 88-90%; R&M EBITDA falls 40-50% from peak; West Coast margins weakest |
| **MPLX** | **MPLX** | **MPLX** |
| Distributions grow to $3.5B+ in 2027; Permian + Blackcomb/Rio Bravo pipelines in-service H2 2026; NGL fractionation complex online | Distributions grow on schedule to $3.0-3.5B; Permian projects complete on time; fee-based cash flow provides earnings floor | Midstream provides floor: $3.5B+ distributions still cover dividends + CapEx. MPLX not affected by oil price — fee-based model holds |
| **Capital Return** | **Capital Return** | **Capital Return** |
| $4.4B buyback fully deployed 2026; new auth announced; share count falls to ~265M; EPS leverages to $17-20+ | ~$2-3B buyback in 2026; dividend increased; share count falls to ~275M; steady EPS growth even on flat margins | Buybacks paused or slowed to preserve liquidity; dividend maintained (MPLX distributions cover it); no new debt issued |
| **Valuation Re-Rating** | **Valuation** | **Floor Analysis** |
| Market recognizes blended midstream + refining model; multiple expands from 10.3x to 12x+ EV/EBITDA; $287 achieved | Current multiple broadly maintained; intrinsic value $230 per DCF; stock drifts toward fair value over 12-18 months | Bear $142 requires SIMULTANEOUS margin compression + revenue decline + multiple de-rating. MPLX floor limits true downside |

**Continuity anchor: MPLX $3.5B+ fee-based distributions cover MPC dividends + standalone CapEx in ALL THREE scenarios — providing permanent downside protection regardless of refining cycle**

Bear case $142 (–39%) requires crack spread collapse + revenue contraction + multiple de-rating occurring simultaneously — historically a <5% probability event

# Through-the-Cycle Analysis



**Are we buying at the peak? Even at mid-cycle margins, MPC is attractive — because MPLX provides a floor that pure refiners don't have.**

| TROUGH — 2020 COVID | MID-CYCLE (NORMALIZED) | CURRENT — POST-CEASEFIRE |
|---|---|---|
| Stock Price | DCF Intrinsic Value | Current Stock Price |
| ~$22 | $230 | ~$232 |
| Crack Spread | Normalized Crack Spread | Q4 2025 Crack Spread |
| ~$4-6/bbl | $13-15/bbl | $18.65/bbl |
| Adj. EBITDA | Adj. EBITDA | FY2025 Adj. EBITDA |
| $3.7B | ~$12B | $12.0B |
| MPLX Floor | MPLX Floor | MPLX Floor |
| $1.8B | $3.0-3.5B+ | $3.0B+ |

# Historical Stock Performance



| 2011 | 2016 | 2018 | 2020 | 2022-23 | 2025-26 |
|---|---|---|---|---|---|
| ~$25 | ~$28 | ~$78 | ~$22 | ~$140 | ~$232 |
| $25→$78 | Stock −45% | +180% from 2016 | Stock −72% | +540% from 2020 | ATH; +45% YTD |
| **IPO Spin-off** | **OPEC Supply Glut** | **Andeavor — $23B** | **COVID Crash** | **Ukraine War** | **Iran Ceasefire** |
| Spun off from Marathon Oil Corp.; independent downstream pure-play. Stock rose from ~$25 IPO to ~$78 by 2018 acquisition. | Crude oversupply crushed crack spreads. MPC stock fell ~45% YoY from ~$52 to ~$28. Dividend maintained; buyback paused. | Largest US downstream M&A. Added 10 refineries + West Coast access. MPC becomes America's largest independent refiner. | Gasoline demand collapsed −30%. MPC cut dividend; announced Speedway sale ($21B, 7-Eleven). Laid groundwork for buyback era. | Supply shock drove crack spreads to record highs. $10B+ returned to shareholders. Float down 20%+ in two years. | WTI still at ~$96 post-ceasefire — well above pre-war $70. CA closures permanent. Q4 2025: 114% crack capture. Raymond James PT raised to $270. |

Source: MPC historical stock data, earnings releases.

# Refinery Network & Product Mix

3.0 mbpd | 13 Refineries | 3 Regions

## Refinery Locations by Region

**GULF COAST (~50% of capacity)**

- Garyville, LA — 578 mbpd (largest US refinery)
- Galveston Bay, TX — 459 mbpd
- Texas City, TX — 76 mbpd

**MID-CONTINENT (~35% of capacity)**

- Robinson, IL — 206 mbpd
- Catlettsburg, KY — 278 mbpd
- Canton, OH — 73 mbpd | Detroit, MI — 137 mbpd
- Mandan, ND — 71 mbpd
- St. Paul Park, MN — 98 mbpd

**WEST COAST (~15% of capacity)**

- Martinez, CA — 161 mbpd (JV with Neste)
- El Paso, TX — 131 mbpd
- Kenai, AK — 72 mbpd

## FY2025 Refined Product Mix (% of sales mbpd)

| | | |
|---|---|---|
| Gasoline | 49.6% | ~1,507 mbpd |
| Distillates | 36.2% | ~1,100 mbpd \| diesel + jet fuel |
| NGLs / Petrochem | 6.4% | ~195 mbpd |
| Heavy Fuel Oil | 3.0% | ~91 mbpd |
| Asphalt | 2.6% | ~79 mbpd |
| Propane | 2.2% | ~67 mbpd |

Distillates (diesel + jet fuel) = 36% of yield — far less EV exposure than pure gasoline refiners

# Supply Chain Analysis

Crude Sourcing, Flow Rates & Geopolitical Resilience

## CRUDE SOURCING

**~50% Heavy/Sour Crude**

Discounted vs. light sweet crude — structural cost advantage vs. peers

**~50% Light/Sweet Crude**

WTI / domestic Permian Basin supply; access via MPLX pipeline network

**Venezuelan Crude Optionality**

Policy-dependent access; heavy grade fits Gulf Coast refinery complexity

**Domestic Shale Access**

Eagle Ford, Permian, Bakken via owned/JV pipelines — price certainty

## PIPELINE THROUGHPUT

**~10,000 Miles Pipeline (MPLX)**

Crude + refined product transport across Gulf Coast, Mid-Con, West Coast

**Flow Rate Physics**

Pipeline capacity is finite — constrains competitor arbitrage; MPC owns key choke points

**Permian Build-Out 2026**

Blackcomb (2.5 Bcf/d) + Rio Bravo (4.5 Bcf/d): in-service H2 2026

**Northwind NGL Plant**

400 MMcfd Permian capacity coming H2 2026 — MPLX growth locked in

## GEOPOLITICAL RESILIENCE

**Domestic Refining = Insulated**

All 13 refineries inside US borders — no foreign refinery risk; supply chain is US-onshore

**SPR / Reserve Events**

Even when nations tap strategic reserves, refined product STILL needs to be processed by refiners like MPC

**Geopolitical Supply Tailwind**

Oil still at ~$96 post-ceasefire — well above pre-war $70. Any supply disruption widens crack spreads for US refiners

**US Energy Cost Advantage**

US natural gas prices ~3-5x cheaper than EU — structural feedstock cost advantage for US refiners

# Top Institutional Shareholders

73% Institutional Ownership | ~295M Shares Outstanding

| Institution | Shares | % Outstanding | Est. Value | Recent Activity |
|---|---|---|---|---|
| **Vanguard Group** | 38.2M | 12.71% | ~$7.1B | Reduced −1.35% (Q4 2025) |
| **State Street Global Advisors** | 17.9M | 5.95% | ~$3.3B | Reduced −3.00% (Q4 2025) |
| **BlackRock Inc.** | 15.5M | 5.16% | ~$2.9B | Reduced −3.85% (Q4 2025) |
| **Wellington Management** | 9.4M | 3.12% | ~$1.7B | Stable (Q3 2025) |
| **Geode Capital Mgmt.** | 5.8M | 1.93% | ~$1.1B | Added +2.1% (Q4 2025) |

| 73.0% | 1.6% | 25.4% |
|---|---|---|
| Institutional | Insiders | Retail / Public |

Top 3 holders (Vanguard, BlackRock, State Street) collectively own ~24% of MPC — stable institutional base supports buyback-driven per-share EPS compounding

# M&A Activity & Corporate Timeline

Portfolio Optimization | Midstream Expansion | Divestitures

**2011** ACQUISITION — **IPO / Spin-off from Marathon Oil**

Downstream pure-play established; focused on refining, marketing, logistics

**2012** MIDSTREAM — **MPLX LP Formation**

Created midstream MLP to monetize logistics assets; MPC retains ~64% GP interest — fee-based floor created

**2018** ACQUISITION — **Andeavor Acquisition — $23B**

Largest US downstream deal; added 10 refineries, West Coast exposure; MPC becomes #1 US refiner

**2021** DIVESTITURE — **Speedway Sale — $21B (7-Eleven)**

Disciplined divestiture of non-core retail; proceeds funded $10B+ buyback; strategic focus on refining + midstream

**2023** MIDSTREAM — **MarkWest Tornado JV (100%)**

Acquired remaining 40% of Permian gas gathering/processing JV ($303M); Tornado now fully consolidated

**2025** MIDSTREAM — **BANGL Pipeline (100% — $715M)**

Acquired remaining 55% of NGL pipeline Permian to Gulf Coast; connects to new MPLX fractionation complex

**2025** DIVESTITURE — **Ethanol Divestiture (~$400M+)**

Sold partial interest in ethanol production; non-core asset monetization; proceeds recycled to buybacks

**2026** MIDSTREAM — **Traverse Pipeline (FID)**

2.5 Bcf/d bi-directional Gulf Coast natural gas pipeline; in-service 2027; expands MPLX fee-based revenue

**Strategy: Acquire scale → divest non-core (Speedway $21B) → concentrate in refining moat + fee-based midstream. MPLX now a self-funding growth engine.**

# MPLX: The Hidden Bond Inside MPC

$3.5B+ Fee-Based Floor — Regardless of Crack Spreads

| $3.5B+ | $2.8B | 12.5% | ~64% |
|---|---|---|---|
| Annual MPLX distributions to MPC (by 2027) | Covers dividends + ALL standalone CapEx | Distribution CAGR locked in for 2 years | MPC ownership of MPLX LP (general partner) |

## MPLX DISTRIBUTION GROWTH TO MPC ($B)

| Year | MPLX Dist. to MPC | MPC Dividend | MPC Standalone Cap Ex | Net Coverage |
|---|---|---|---|---|
| 2023A | $2.4B | $0.88B | $2.1B | Partial |
| 2024A | $2.6B | $0.95B | $3.2B | Partial |
| 2025A | $2.8B | $1.00B | $3.1B | Full |
| **2026E** | **$3.0B+** | **$1.00B** | **$1.5B** | **FULL + SURPLUS** |
| **2027E** | **$3.5B+** | **$1.10B+** | **$1.3BE** | **FULL + SURPLUS** |

## WHY THIS MATTERS FOR VALUATION

### The Market Prices MPC as a Pure Refiner

At 10.3x EV/EBITDA, MPC is valued on refining earnings alone. But 42% of EBITDA comes from MPLX — a fee-based MLP that should trade at 12-14x.

### MPLX Alone Justifies ~$151 Per Share

MPLX 2026E EBITDA of $5.8B × 12x peer MLP multiple = $69.6B enterprise value. At 64% ownership: ~$44.5B to MPC. / 295M shares = ~$151/share just from MPLX, before any refining credit.

### Refining Is "Free" at Current Prices

Strip out MPLX-implied value ($151/share). Refining + everything else = $232 − $151 = $81/share. For 3.0 mbpd of #1 US refining capacity. That's cheap.

### Floor in ANY Market Condition

Fee-based MLP distributions don't compress when crack spreads fall. Bear case EBITDA drops 40%+ but MPLX still delivers $3.5B+ floor — covering dividends entirely.

**Key Takeaway: MPC at $232 embeds $151+/share of durable midstream value (MPLX) + $81/share of refining — the market only prices the latter. Re-rating to blended multiple unlocks $287 upside.**

# Reverse DCF: What MPC Must Do to Justify $232



## At $232, MPC implies only ~3.5% annual revenue CAGR for 5 years

MPLX growing at 12.5% annually. Even if refining earns ZERO growth, midstream alone nearly justifies the stock. Consensus EPS 2026: $15.46 — we only need ~$10.70 maintenance.

**REVERSE DCF — IMPLIED ANNUAL GROWTH TO JUSTIFY PRICE**

| WACC→ TGR↓ | 6.9% | 7.4% | 7.9% | 8.4% | 8.9% |
|---|---|---|---|---|---|
| 1.0% | 1.5% | 2.0% | 2.5% | 3.0% | 3.5% |
| 1.5% | 2.0% | 2.5% | 3.0% | 3.5% | 4.0% |
| 2.0% | 2.5% | **3.0%** | 3.5% | 4.0% | 4.5% |
| 2.5% | 3.0% | 3.5% | 4.0% | 4.5% | 5.0% |
| 3.0% | 3.5% | 4.0% | 4.5% | 5.0% | 5.5% |

Easily Achievable — MPC has exceeded this for 5 consecutive years

Stretch — requires strong macro conditions

**MPC vs. CONSENSUS ANALYST ESTIMATES**

| Metric | Bull Street | Our Base | Required at $232 |
|---|---|---|---|
| 2026E Revenue CAGR | +5-8% | +3.5% | ~3.5% |
| 2026E Adj. EPS | $15.46 | $13.00E | >$10.70 needed |
| 2026E EBITDA | ~$14B | ~$12.4B | ~$11B+ sufficient |
| MPLX Dist. to MPC | $3.0B+ | $3.0B+ | $3.5B+ secures base |
| 5-Yr Rev CAGR needed | 6-8% | 3.5% | 3.5% covers $232 |
| Our WACC | ~7.5% | 7.9% | Conservative |
| Implied Share Price | $270-287 | $230 | $232 = cheap |

**At $232 MPC only needs 3.5% revenue CAGR. With MPLX at 12.5% CAGR and consensus EPS $15.46, MPC is massively de-risked — the market simply hasn't done this math.**

INVESTMENT RECOMMENDATION

# STRONG BUY

**NYSE: MPC**

| ~$232 | $230 | $287 |
|---|---|---|
| Current Price | Base Target | Upside Target |
| As of April 2026 | –0% from current | +24% upside |

## WHY MARATHON PETROLEUM NOW

- **Dual-Engine Model:** MPLX's $3.5B+ fee-based distributions provide an earnings floor independent of crack spreads; Refining adds cyclical upside when margins improve
- **Structural Moat:** 114% crack capture rate (Q4 2025), sour crude diet, 3.0 mbpd capacity, and CA competitor closure create durable earnings advantages no pure-play refiner can replicate
- **Capital Return Machine:** $10.2B returned in 2024 (23% yield); $4.4B buyback authorization remaining; share count down ~40% since 2021 — per-share EPS leverage still powerful
- **MPLX Growth Flywheel:** 12.5% distribution CAGR locked in for 2 years; $2.4B 2026 growth CapEx in Permian & Marcellus; distributions alone fund MPC's entire dividend + CapEx in 2026
- **Valuation Disconnect:** 10.3x EV/EBITDA and 14.5x fwd P/E still undervalue the integrated midstream + refining model; analyst consensus ~$212; Raymond James at $270 still implies 16% upside from ~$232; our base: $230 | upside: $287

# Appendix A: Historical Financials



| ($B except EPS) | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025A |
|---|---|---|---|---|---|---|---|
| Revenue | 111.7 | 66.1 | 109.1 | 179.5 | 150.3 | 140.4 | 133.4 |
| YoY Growth | — | –41% | +65% | +64% | –16% | –7% | –5% |
| Cost of Sales | 99.2 | 58.9 | 95.7 | 150.7 | 127.4 | 122.2 | 115.2 |
| Gross Profit | 12.5 | 7.2 | 13.4 | 28.8 | 22.9 | 18.2 | 18.2 |
| Gross Margin % | 11.2% | 10.9% | 12.3% | 16.0% | 15.2% | 13.0% | 13.6% |
| SG&A / Opex | 3.8 | 4.1 | 4.3 | 5.2 | 4.7 | 5.1 | 5.5 |
| Adj. EBITDA | 5.7 | 3.7 | 9.2 | 18.4 | 18.0 | 11.3 | 12.0 |
| EBITDA Margin % | 5.1% | 5.6% | 8.4% | 10.2% | 12.0% | 8.0% | 9.0% |
| D&A | 2.1 | 2.2 | 2.3 | 2.5 | 2.6 | 2.9 | 3.0 |
| EBIT | 3.6 | 1.5 | 6.9 | 15.9 | 15.4 | 8.4 | 9.0 |
| Interest Expense | 0.9 | 1.0 | 1.1 | 1.2 | 1.3 | 1.4 | 1.4 |
| Income Tax | 0.7 | 0.1 | 1.5 | 3.7 | 2.8 | 1.8 | 1.8 |
| Net Income (MPC) | 2.6 | 0.1 | 3.8 | 14.5 | 9.7 | 3.4 | 4.0 |
| Diluted EPS | $5.48 | $0.27 | $9.46 | $33.47 | $23.63 | $10.08 | $13.22 |
| EPS YoY Growth | — | –95% | +3,400% | +254% | –29% | –57% | +31% |
| Operating Cash Flow | 3.4 | 2.3 | 7.1 | 16.1 | 14.3 | 8.7 | 8.3 |
| CapEx | 1.2 | 0.8 | 0.9 | 1.2 | 2.1 | 3.2 | 3.1 |
| Free Cash Flow | 2.2 | 1.5 | 6.2 | 14.9 | 12.2 | 5.5 | 5.2 |
| Capital Returned | 3.1 | — | 4.2 | 9.0 | 10.4 | 10.2 | 4.5 |
| Net Debt | 23.1 | 24.5 | 21.8 | 19.7 | 17.5 | 28.6 | 31.5 |

Source: MPC 10-K SEC filings (2019–2024), Q4 2025 earnings release

# Appendix B: WACC Build, Management & Capital Allocation



## WACC Derivation

| Component | Value |
|---|---|
| Risk-Free Rate (10-yr UST) | 4.4% |
| Equity Risk Premium | 5.5% |
| Beta (5-yr Monthly) | 0.71 |
| Cost of Equity (CAPM) | 8.31% |
| Pre-Tax Cost of Debt | 3.90% |
| Tax Rate | 21.0% |
| After-Tax Cost of Debt | 3.08% |
| Weight: Equity / Debt | 92% / 8% |
| **WACC** | **7.90%** |

## SHARE BUYBACK HISTORY

| Year | Shares (M) | Buyback ($B) | Float Reduction |
|---|---|---|---|
| 2021 | 495 | 3.7 | — |
| 2022 | 455 | 8.2 | **–8.1%** |
| 2023 | 408 | 8.7 | **–10.3%** |
| 2024 | 341 | 9.2 | **–16.4%** |
| 2025 | 295 | 3.6 | **–13.5%** |

## Management Team

**Maryann T. Mannen**

**Chairman, President & CEO**

Named Chairman Jan 2026; CEO since Aug 2024; former EVP & CFO (2021–2024); driving capital discipline and MPLX growth

**Maria A. Khoury**

**EVP & CFO**

Joined Jan 2026; 25 yrs finance leadership incl. GE Oil & Gas CFO; succeeded John Quaid; focused on capital allocation

**Michael Henschen**

**EVP, Refining**

Oversees all 13 refineries; 20+ yrs at MPC; named EVP 2025; drives 114% crack capture rate and turnaround execution

**Brian Partee**

**Chief Global Optimization Officer**

Also SVP of MPLX GP LLC; leads commercial optimization across refining and logistics; named CGOO in 2024

**Molly R. Benson**

**Chief Legal Officer & Corp. Secretary**

Oversees legal, compliance, and governance for MPC and MPLX GP LLC; key role in regulatory and M&A matters